• Let's say you own a ***car*** (a ***bitcoin***) and you want to keep it safe when you are not driving it. You can put it in your ***garage*** (a bitcoin wallet) and ***lock the door*** (lock your wallet with a **password**). This will protect your car (***bitcoin***) from thieves (hackers). When you want to use your car (spend your bitcoin), you can open the garage door and unlock your wallet with another **password**, which is needed to ***turn the car on*** and ***drive it out*** of the garage (make a transaction).

Exchanges can be thought of as ***car dealerships***. Just as a dealership allows you to buy and sell cars, an exchange allows you to buy and sell ***bitcoin***.

• For example, if you want to sell your car (***bitcoin***), you can take it to a dealership (exchange) and they will help you find a buyer.

Let's look at ***Bitcoin*** in terms of a car sale:

Imagine you, the user, have a valuable asset, like a ***bitcoin***, that you want to sell. You take it to an exchange, similar to a dealership, to find a buyer. Along the way, you pass through the network's nodes, similar to a service plaza, to ensure that your asset is in optimal condition before the sale. The transaction then goes through a rigorous verification process with the exchange's financial department, similar to bookkeepers in a dealership, to ensure that everything is accurate and the sale goes smoothly. Once the sale is complete, you receive payment in fiat currency and the exchange takes possession of the asset, transferring it to their wallet. The network also has a team of developers, similar to engineers in a dealership, working on improving and updating ***Bitcoin***'s features and technology. Other participants in the network, such as merchants and investors, also play a role in the functioning of the ***Bitcoin Network***.

5.3 Walk Me Through an Actual bitcoin Transaction

New ***Bitcoin*** transactions are initiated from wallets around the world, but there is no central payment processor. Instead, **miners** around the world compete to **record** transactions in the ledger.

Let's say Jim owes Eliana ***0.5 BTC*** and is ready to pay her back. Both have digital wallets.

1. Eliana shares her **address** with Jim.
2. Jim uses his wallet software to create the **transaction**, which includes Eliana's **address**, the amount to be transferred (0.5 BTC), and a fee for the miner.